Economics - Graduate Level Assessment 3 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Suppose that there are only two goods: x and y. Which of the following is NOT correct?
   (a) One can have comparative advantage in producing both goods.
   (b) One can have both an absolute advantage and a comparative advantage in producing x.
   (c) One can have absolute advantage and no comparative advantage in producing x.
   (d) One can have comparative advantage and no absolute advantage in producing x.

2. The primary focus of microeconomics is
   (a) the overall national economy and its growth.
   (b) the impact of government regulations on businesses.
   (c) the stock market and its fluctuations.
   (d) the economic impact of natural disasters.
   (e) government.

3. Which of the following is true in the long run in perfect competition?
   (a) P = MR = MC = ATC
   (b) P = MR = MC > ATC
   (c) P > MR = MC = ATC
   (d) P = MR > MC = ATC

4. If technology makes production less expensive and at the same time exports decrease which of the following will result with certainty?
   (a) Real GDP will decrease.
   (b) The unemployment rate will increase.
   (c) The country's trade balance will worsen.
   (d) The interest rate will decrease.
   (e) The price level will increase.

5. Consider a series that follows an MA(1) with zero mean and a moving average coefficient of 0.4. What is the value of the autocovariance at lag 1?
   (a) 1
   (b) 2

(c) -0.4

(d) The autocovariance at lag 1 is undefined for an MA(1) series.

(e) 0.2

True / False (10 marks)

Answer True or False

6. True or False: Increasing government spending without changing taxes can stimulate real GDP while minimizing inflationary pressure.

7. True or False: Economic stabilization policy typically involves decision lag and effect lag, leading to delayed impacts on the economy.

8. True or False: An autonomous increase in spending is an increase in spending that is directly proportional to an increase in income.

9. True or False: An increase in the number of firms in a market will shift the demand curve for labor to the right.

10. True or False: An increase in per capita GDP in China, leading to higher imports from the United States, contributes to the appreciation of the U.S. dollar.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the significance of the principle of diminishing returns in growth theory, particularly its implications for the sustainability of output increases through capital accumulation and population growth.

12. Discuss how to calculate the reserve ratio for a bank with 500$incheckingdepositsandarequiredreserve$
Additionally, analyze the implications of having \$475 in excess reserves.

End of Paper